NOMURA

Global Markets Research
29 October 2026

Delta Electronics 2308.TW 2308 TT

EQUITY: PC HARDWARE

Strong demand affirmed, but volatility rising

Delta's critical position in AI power supply unchanged, but volatility is likely to increase owing to several bottlenecks

Action: Maintain Buy; lower TP to TWD2,180, implying ~47% upside

We lower our 2026F/27F/28F earnings by 9.2%/8.8%/8.6% to reflect the rising uncertainties regarding certain datacenter (DC) deployment delays and component shortages. We observe stronger demand on power supply along with rising demand on AI computing power with attractive payback period for the DC investments. However, the severe component shortages (esp. power discretes and power ICs) and delayed ramp-up of some new AI systems led to the miss of Delta's 3Q26 sales (+7.5% q-q, vs. consensus ~15%) and GM (34.1%, down 1.6pp q-q, on higher inventory write-offs and one-off supplier's quality issue). The gap between customers' orders and what Delta can deliver could be higher than 30%, in our estimate. We believe those unfulfilled demand and unshipped inventories will likely be pushed out to later quarters, depending on key component supply. Hence, we forecast continued sequential growth throughout 2027F (i.e. no seasonal decline in 1Q27F). We reiterate our Buy rating, and lower TP to TWD2,180, on 27x 2028F EPS of TWD80.75 (from a TP of TWD2,650, based on 30x 2028F EPS of TWD88.33). The stock trades at 25x 2027F EPS of TWD58.93.

Four bottlenecks of AI DC deployments, creating volatility to Delta's operation

In the earnings meeting, management highlighted a stronger AI demand outlook until 2030E, but cautioned that Delta and its customers right now are faced with four key challenges: (1) component shortages; (2) power shortage (which may require more off-grid power supply solutions, e.g. Delta's SOFC (Solid Oxide Fuel Cell); (3) labor shortage (e.g. electrician for HVDC infrastructure); and (4) political issues (e.g. community opposition to DC construction). These factors will cause higher volatility to Delta's sales and earnings in the future.

HVDC has started ramping up in 3Q26; new site will be in Penang, Malaysia

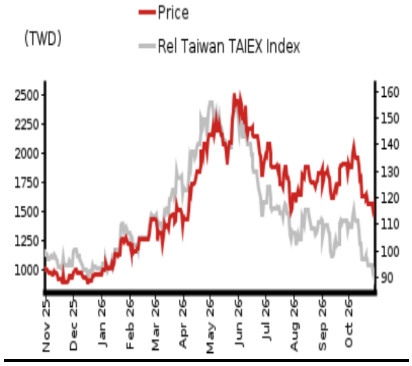
We largely concur with Delta's view that HVDC and SST form part of a confirmed technological roadmap to improve DC power efficiency. Delta has started shipping out a small volume of +/-400VDC products in 3Q26. We expect the projects to ramp up more meaningfully by end-2026F or early-2027F. For 800VDC DC, management thinks it will take some more time to develop, as many HVDC DC constructions grapple with the shortage of qualified licensed electricians. Delta announced Penang in Malaysia would be the next mega site, aiming to ramp it up to the scale of its Thailand sites over the next five years.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	554,885	769,761	755,294	988,897	970,909	1,211,708	1,197,569
Reported net profit (mn)	60,108	108,539	98,531	167,882	153,061	229,434	209,759
Normalised net profit (mn)	60,108	108,539	98,531	167,882	153,061	229,434	209,759
FD normalised EPS	23.14	41.79	37.93	64.63	58.93	88.33	80.75
FD norm. EPS growth (%)	70.6	80.6	63.9	54.7	55.3	36.7	37.0
FD normalised P/E (x)	64.0	–	39.0	–	25.1	–	18.3
EV/EBITDA (x)	33.9	–	22.9	–	15.3	–	11.3
Price/book (x)	14.3	–	11.9	–	9.0	–	6.9
Dividend yield (%)	0.8	–	1.3	–	2.0	–	2.7
ROE (%)	24.1	36.1	33.3	43.0	40.7	44.1	42.5
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Reduced from TWD 2,650.00	**TWD 2,180.00**
Closing price 29 October 2026	**TWD 1,480.00**
Implied upside	**+47.3%**
Market Cap (USD mn)	118,186.3
ADT (USD mn)	676.1

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Taiwan Technology/Hardware

Anne Lee, CFA - NITB
anne.lee@nomura.com
+886(2) 21769966

Eric Chen, CFA - NITB
eric.chen@nomura.com
+886(2) 21769965

Key data on Delta Electronics

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-19.3	-1.0	39.6	M cap (USDmn)	118,186.3
Absolute (USD)	-21.0	-1.4	31.2	Free float (%)	68.5
Rel to Taiwan TAIEX Index	-18.1	-18.5	-26.6	3-mth ADT (USDmn)	676.1

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	421,148	554,885	755,294	970,909	1,197,569
Cost of goods sold	-284,567	-364,729	-487,583	-613,082	-745,975
Gross profit	136,580	190,157	267,711	357,827	451,594
SG&A	-88,928	-106,224	-135,644	-153,152	-171,152
Employee share expense	0	0	0	0	0
Operating profit	47,652	83,932	132,067	204,675	280,442
EBITDA	72,668	111,771	166,906	246,514	329,281
Depreciation	-25,016	-27,839	-34,839	-41,839	-48,839
Amortisation	0	0	0	0	0
EBIT	47,652	83,932	132,067	204,675	280,442
Net interest expense	1,859	1,501	1,461	1,800	1,800
Associates & JCEs	365	498	205	320	320
Other income	1,439	1,936	7,083	2,000	2,000
Earnings before tax	51,316	87,866	140,815	208,795	284,562
Income tax	-10,925	-19,930	-30,908	-42,652	-59,758
Net profit after tax	40,391	67,936	109,907	166,143	224,804
Minority interests	-5,163	-7,828	-11,376	-13,082	-15,045
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	35,229	60,108	98,531	153,061	209,759
Extraordinary items	0	0	0	0	0
Reported NPAT	35,229	60,108	98,531	153,061	209,759
Dividends	-20,313	-30,132	-49,392	-76,727	-105,149
Transfer to reserves	14,916	29,977	49,139	76,333	104,610
Valuations and ratios					
Reported P/E (x)	109.1	64.0	39.0	25.1	18.3
Normalised P/E (x)	109.1	64.0	39.0	25.1	18.3
FD normalised P/E (x)	109.1	64.0	39.0	25.1	18.3
Dividend yield (%)	0.5	0.8	1.3	2.0	2.7
Price/cashflow (x)	52.7	39.0	43.7	24.7	17.6
Price/book (x)	16.7	14.3	11.9	9.0	6.9
EV/EBITDA (x)	52.5	33.9	22.9	15.3	11.3
EV/EBIT (x)	79.9	45.1	28.9	18.5	13.2
Gross margin (%)	32.4	34.3	35.4	36.9	37.7
EBITDA margin (%)	17.3	20.1	22.1	25.4	27.5
EBIT margin (%)	11.3	15.1	17.5	21.1	23.4
Net margin (%)	8.4	10.8	13.0	15.8	17.5
Effective tax rate (%)	21.3	22.7	21.9	20.4	21.0
Dividend payout (%)	57.7	50.1	50.1	50.1	50.1
ROE (%)	13.5	24.1	33.3	40.7	42.5
ROA (pretax %)	12.2	18.7	25.1	33.5	40.0
Growth (%)					
Revenue	5.0	31.8	36.1	28.5	23.3
EBITDA	16.2	53.8	49.3	47.7	33.6
Normalised EPS	5.5	70.6	63.9	55.3	37.0
Normalised FDEPS	5.5	70.6	63.9	55.3	37.0

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	72,668	111,771	166,906	246,514	329,281
Change in working capital	-2,538	6,280	-56,925	-52,455	-55,181
Other operating cashflow	2,765	-19,577	-21,955	-38,212	-55,318
Cashflow from operations	72,895	98,474	88,026	155,847	218,782
Capital expenditure	-33,435	-45,950	-70,000	-70,000	-70,000
Free cashflow	39,460	52,525	18,026	85,847	148,782
Reduction in investments	-638	-701	0	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-6,287	-6,564	0	0	0
CF after investing acts	32,535	45,260	18,026	85,847	148,782
Cash dividends	-18,696	-20,313	-30,132	-49,392	-76,727
Equity issue	0	0	0	0	0
Debt issue	7,135	-10,862	0	0	0
Convertible debt issue	0	0	0	0	0
Others	9,030	19,628	0	0	0
CF from financial acts	-2,532	-11,547	-30,132	-49,392	-76,727
Net cashflow	30,003	33,713	-12,106	36,455	72,055
Beginning cash	87,456	117,459	151,172	139,067	175,521
Ending cash	117,459	151,172	139,067	175,521	247,576
Ending net debt	-59,232	-92,105	-79,999	-116,454	-188,508

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	117,459	151,172	139,067	175,521	247,576
Marketable securities	10,183	10,670	10,670	10,670	10,670
Accounts receivable	89,921	121,717	166,165	213,600	263,465
Inventories	83,856	101,478	121,896	153,271	186,494
Other current assets	9,506	10,744	10,744	10,744	10,744
Total current assets	310,925	395,781	448,541	563,806	718,949
LT investments	7,268	5,105	4,901	4,581	4,261
Fixed assets	115,710	142,040	177,201	205,362	226,523
Goodwill	63,182	61,643	61,643	61,643	61,643
Other intangible assets	0	0	0	0	0
Other LT assets	34,813	35,050	11,108	-1,975	-17,019
Total assets	531,898	639,619	703,393	833,416	994,355
Short-term debt	1,918	2,364	2,364	2,364	2,364
Accounts payable	69,223	94,452	102,392	128,747	156,655
Other current liabilities	81,142	112,849	112,849	112,849	112,849
Total current liabilities	152,283	209,665	217,606	243,961	271,868
Long-term debt	56,309	56,703	56,703	56,703	56,703
Convertible debt	0	0	0	0	0
Other LT liabilities	43,740	47,861	47,861	47,861	47,861
Total liabilities	252,332	314,230	322,171	348,525	376,433
Minority interest	49,478	57,331	57,331	57,331	57,331
Preferred stock	0	0	0	0	0
Common stock	25,975	25,975	25,975	25,975	25,975
Retained earnings	204,112	242,083	297,916	401,584	534,616
Proposed dividends	0	0	0	0	0
Other equity and reserves	0	0	0	0	0
Total shareholders' equity	230,087	268,058	323,891	427,560	560,592
Total equity & liabilities	531,898	639,619	703,393	833,416	994,355
Liquidity (x)					
Current ratio	2.04	1.89	2.06	2.31	2.64
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (TWD)	13.56	23.14	37.93	58.93	80.75
Norm EPS (TWD)	13.56	23.14	37.93	58.93	80.75
FD norm EPS (TWD)	13.56	23.14	37.93	58.93	80.75
BVPS (TWD)	88.58	103.20	124.69	164.60	215.82
DPS (TWD)	7.82	11.60	19.01	29.54	40.48
Activity (days)					
Days receivable	73.4	69.6	69.6	71.4	72.9
Days inventory	102.7	92.7	83.6	81.9	83.3
Days payable	78.7	81.9	73.7	68.8	70.0
Cash cycle	97.3	80.4	79.5	84.5	86.2

Source: Company data, Nomura estimates

Company profile

Delta is a global leading company of power and thermal management solutions, with diversified business scope in Power Electronics, Automation, and Infrastructure

Valuation Methodology

Our TP of TWD2,180 is based on 27x 2028F EPS of TWD80.75. Our target P/E multiple of 27x is slightly higher than the midpoint of its historical P/E range of 12-45x since 2012, which we believe is justified by market's re-rating from AI boom. The benchmark index for the stock is TAIEX.

Risks that may impede the achievement of the target price

Downside risks include: 1) lower-than-expected global IT demand; 2) weaker-than-expected operating margin performance due to slow growth in IA and component products; 3) less disciplined opex control; and 4) slower progress in the company's EV, datacenter, and telecom power businesses.

ESG

Delta is leading in implementing ESG policy, and its culture and business foundation are rooted in energy saving and green energy.

Fig. 1: Delta: 3Q26 results comparison

TWDmn	3Q26 results	NMR	Diff (%)	Consensus	Diff (%)	2Q26	q-q %	3Q25	y-y %
Total revenue	197,059	210,841	(6.5)	208,110	(5.3)	183,256	7.5	150,318	31.1
Gross profit	67,155	76,070	(11.7)	74,969	(10.4)	65,308	2.8	52,416	28.1
Operating profit	32,620	39,943	(18.3)	37,994	(14.1)	30,570	6.7	24,809	31.5
Pretax profit	33,666	41,721	(19.3)	40,986	(17.9)	35,000	(3.8)	26,983	24.8
Net profit	23,495	30,920	(24.0)	29,912	(21.5)	25,136	(6.5)	18,606	26.3
EPS (NT$)	9.04	11.90	(24.0)	10.47	(13.6)	9.68	(6.5)	7.16	26.3
Margins (%)			**(ppt)**		**(ppt)**				
Gross margin	34.1	36.1	(2.0)	36.0	(1.9)	35.6	(1.6)	34.9	(0.8)
Operating margin	16.6	18.9	(2.4)	18.3	(1.7)	16.7	(0.1)	16.5	0.0
Pretax margin	17.1	19.8	(2.7)	19.7	(2.6)	19.1	(2.0)	18.0	(0.9)
Net margin	11.9	14.7	(2.7)	14.4	(2.5)	13.7	(1.8)	12.4	(0.5)

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Delta – earnings estimate revisions

	New forecast			Previous forecast			Change (%)		
TWDmn	**2026F**	**2027F**	**2028F**	**2026F**	**2027F**	**2028F**	**2026F**	**2027F**	**2028F**
Revenue	755,294	970,909	1,197,569	769,761	988,897	1,211,708	(1.9)	(1.8)	(1.2)
Gross profit	267,711	357,827	451,594	278,960	371,054	466,712	(4.0)	(3.6)	(3.2)
Operating profit	132,067	204,675	280,442	140,095	214,136	291,319	(5.7)	(4.4)	(3.7)
Pretax profit	140,815	208,795	284,562	150,757	220,656	297,839	(6.6)	(5.4)	(4.5)
Net profit	98,531	153,061	209,759	108,539	167,882	229,434	(9.2)	(8.8)	(8.6)
EPS (NT$)	37.93	58.93	80.75	41.79	64.63	88.33			
Margins (%)									
Gross margin	35.4	36.9	37.7	36.2	37.5	38.5	(0.8)	(0.7)	(0.8)
Operating margin	17.5	21.1	23.4	18.2	21.7	24.0	(0.7)	(0.6)	(0.6)
Pretax margin	18.6	21.5	23.8	19.6	22.3	24.6	(0.9)	(0.8)	(0.8)
Net margin	13.0	15.8	17.5	14.1	17.0	18.9	(1.1)	(1.2)	(1.4)

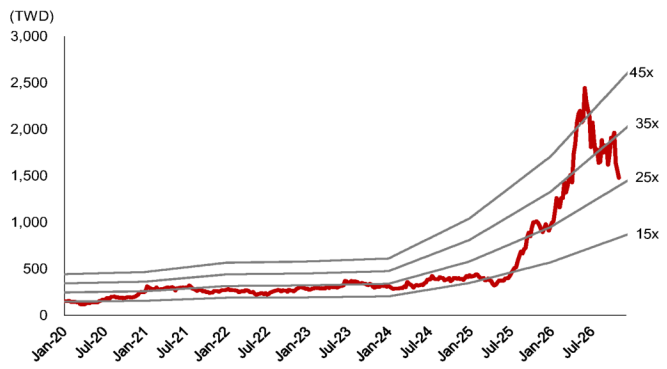
Source: Nomura estimates

Fig. 3: Delta: quarterly earnings forecasts

(TWDm)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F	2028F
Net revenue	**118,919**	**124,035**	**150,318**	**161,613**	**554,885**	**159,353**	**183,256**	**197,059**	**215,627**	**755,294**	**217,370**	**235,389**	**255,729**	**262,421**	**970,909**	**1,197,569**
COGS	81,131	79,986	97,902	105,710	364,729	100,392	117,948	129,904	139,339	487,583	138,330	148,727	161,075	164,950	613,082	745,975
Gross profit	**37,788**	**44,049**	**52,416**	**55,903**	**190,157**	**58,961**	**65,308**	**67,155**	**76,287**	**267,711**	**79,040**	**86,662**	**94,654**	**97,471**	**357,827**	**451,594**
Op expenses	23,752	25,380	27,607	29,485	106,224	30,544	34,738	34,535	35,828	135,644	35,431	38,212	39,024	40,486	153,152	171,152
Op profit	**14,036**	**18,669**	**24,809**	**26,418**	**83,932**	**28,417**	**30,570**	**32,620**	**40,459**	**132,067**	**43,609**	**48,450**	**55,630**	**56,985**	**204,675**	**280,442**
Non-op income	1,627	902	2,174	(770)	3,934	2,676	4,430	1,046	597	8,748	1,030	1,030	1,030	1,030	4,120	4,120
Pretax profit	15,663	19,571	26,983	25,649	87,866	31,093	35,000	33,666	41,056	140,815	44,639	49,480	56,660	58,015	208,795	284,562
Net profit	**10,231**	**13,948**	**18,606**	**17,324**	**60,108**	**20,556**	**25,136**	**23,495**	**29,345**	**98,531**	**31,048**	**37,246**	**42,380**	**42,387**	**153,061**	**209,759**
EPS (NT$)	**3.9**	**5.4**	**7.2**	**6.7**	**23.1**	**7.9**	**9.7**	**9.0**	**11.3**	**37.9**	**12.0**	**14.3**	**16.3**	**16.3**	**58.9**	**80.8**
Operating ratios (%)																
Gross margin	31.8%	35.5%	34.9%	34.6%	34.3%	37.0%	35.6%	34.1%	35.4%	35.4%	36.4%	36.8%	37.0%	37.1%	36.9%	37.7%
Operating margin	11.8%	15.1%	16.5%	16.3%	15.1%	17.8%	16.7%	16.6%	18.8%	17.5%	20.1%	20.6%	21.8%	21.7%	21.1%	23.4%
Pretax profit margin	13.2%	15.8%	18.0%	15.9%	15.8%	19.5%	19.1%	17.1%	19.0%	18.6%	20.5%	21.0%	22.2%	22.1%	21.5%	23.8%
Net profit margin	8.6%	11.2%	12.4%	10.7%	10.8%	12.9%	13.7%	11.9%	13.6%	13.0%	14.3%	15.8%	16.6%	16.2%	15.8%	17.5%
Year-to-year (%)																
Net revenue	30%	20%	34%	42%	32%	34%	48%	31%	33%	36%	36%	28%	30%	22%	29%	23%
Gross profit	40%	25%	34%	59%	39%	56%	48%	28%	36%	41%	34%	33%	41%	28%	34%	26%
Operating profit	90%	42%	51%	147%	76%	102%	64%	31%	53%	57%	53%	58%	71%	41%	55%	37%
Pretax profit	79%	30%	53%	161%	71%	99%	79%	25%	60%	60%	44%	41%	68%	41%	48%	36%
Net profit	78%	40%	51%	141%	71%	101%	80%	26%	69%	64%	51%	48%	80%	44%	55%	37%
Qtr-to-Qtr (%)																
Net revenue	4%	4%	21%	8%		-1%	15%	8%	9%		1%	8%	9%	3%		
Gross profit	8%	17%	19%	7%		5%	11%	3%	14%		4%	10%	9%	3%		
Operating profit	31%	33%	33%	6%		8%	8%	7%	24%		8%	11%	15%	2%		
Pretax profit	59%	25%	38%	-5%		21%	13%	-4%	22%		9%	11%	15%	2%		
Net profit	43%	36%	33%	-7%		19%	22%	-7%	25%		6%	20%	14%	0%		

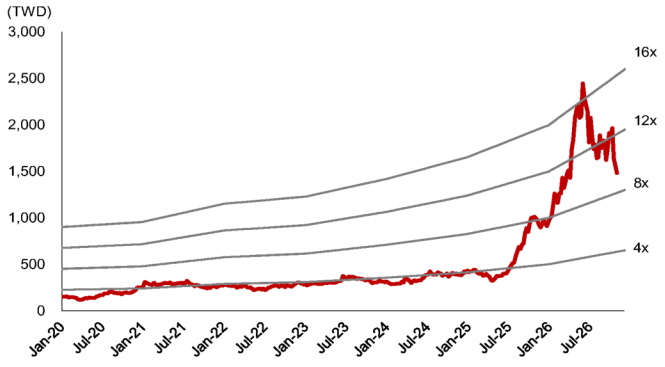
Source: Company data, Nomura estimates

Fig. 4: Delta: forward P/E



Source: TEJ, Nomura estimates

Fig. 5: Delta: forward P/B



Source: TEJ, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd., Taipei Branch (NITB), Taiwan.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Anne Lee and Eric Chen, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

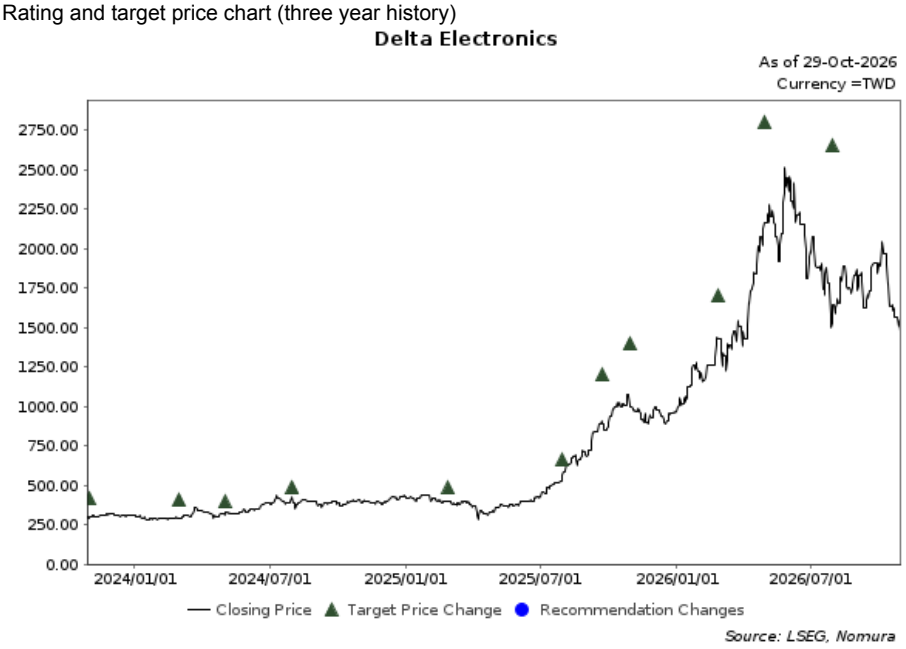
The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Delta Electronics	2308 TT	TWD 1,480.00	29-Oct-2026	Buy	N/A	

Delta Electronics (2308 TT) **TWD 1,480.00 (29-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
30-Jul-26		2,650.00	1,530.00
30-Apr-26		2,800.00	2,165.00
26-Feb-26		1,700.00	1,430.00
30-Oct-25		1,400.00	1,010.00
23-Sep-25		1,200.00	893.00
31-Jul-25		660.00	567.00
27-Feb-25		482.00	402.00
01-Aug-24		490.00	424.00
02-May-24		394.00	309.50
01-Mar-24		410.00	293.50
01-Nov-23		416.00	287.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD2,180 is based on 27x 2028F EPS of TWD80.75. Our target P/E multiple of 27x is slightly higher than the midpoint of its historical P/E range of 12-45x since 2012, which we believe is justified by market's re-rating from AI boom. The benchmark index for the stock is TAIEX.
Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected global IT demand; 2) weaker-than-expected operating margin performance due to slow growth in IA and component products; 3) less disciplined opex control; and 4) slower progress in the company's EV, datacenter, and telecom power businesses.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are

not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:
60% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 34% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.
38% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group
2% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 17% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.
As at 30 September 2026.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia

(ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: 69116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: esra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including

ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.
Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.
The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.
Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.
Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation.
Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.
With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.
Nomura's research services may utilize artificial intelligence tools, including third-party platforms, to assist with data analysis and other research-related activities. Any AI-generated output is subject to review and oversight by the research analyst(s) primarily responsible for the substance of this report and a qualified supervisor For the avoidance of doubt, the use of AI tools does not constitute investment advice and does not alter the execution-only basis upon which Research Services are provided.
The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.
This document has been approved for distribution in the UK as investment research by NIplc. NIplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NIplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.
This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).
This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.
This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.
This document has also been approved for distribution in Malaysia by NSM.
In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC

INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.
Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.
This document has not been approved for distribution to persons other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia (‘Saudi Arabia’) or a ’Market Counterparty’ or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates (‘UAE’) or a ‘Market Counterparty’ or a ‘Business Customer’ (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar (‘Qatar’) by Nomura Saudi Arabia, NIplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ located in Saudi Arabia or a ’Market Counterparty’ or a 'Professional Client' in the UAE or a ‘Market Counterparty’ or a ‘Business Customer’ in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.
For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:
THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.
This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.
An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, “Offshore Issuers”) that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.
NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.
Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:
http://go.nomuranow.com/research/m/Disclosures
Copyright © 2026 Nomura International (Hong Kong) Ltd., Taipei Branch, Taiwan. All rights reserved.